

percent on average. We can conclude from this analysis that the outperformance of the Deep Value portfolios over the Glamour Value portfolios was not a function of the Deep Value portfolios possessing higher-quality stocks. While the portfolios tended to contain stocks with broadly similar Novy-Marx measures of quality, the Glamour Value portfolios were slightly better in most years and on average, and yet underperformed.

We’ve examined the returns on a market capitalization-weighted basis because most stock market indices like the S&P 500 or the Russell 1000 are weighted by market capitalization. This means the All Stocks portfolio is a reasonable proxy for those market capitalization-weighted indices and the returns to the various portfolios are comparable. It makes sense to construct a stock market index that is weighted by market capitalization. We would not, however, construct a portfolio by market capitalization, which would mean that we allocate capital to each stock in the portfolio on the basis of how large or small it is. The simplest method of portfolio construction is to weight each stock equally. If, rather than weighting the stocks in each portfolio by market capitalization we weight each equally, we see substantially improved performance. Figure 10.8 shows the impact of equally weighting the Deep Value portfolios compared to weighting by market capitalization.

Simply equally weighting the same portfolios of Deep Value stocks generates an extraordinary compound annual growth rate of 21.30 percent

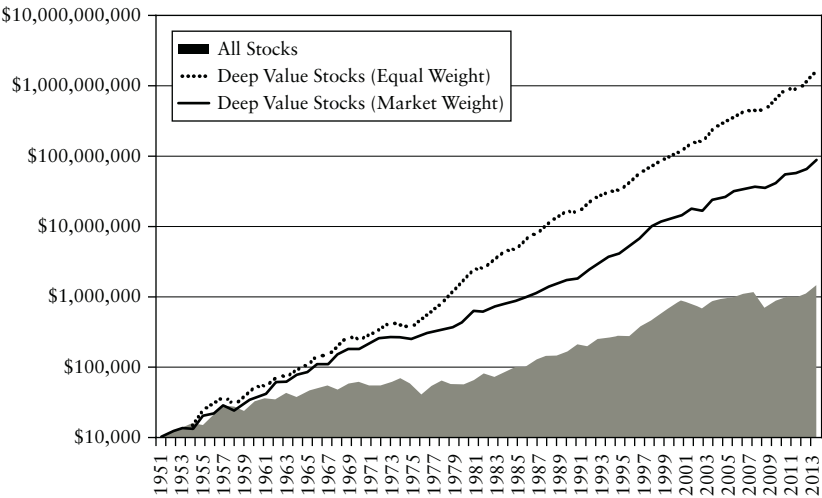


FIGURE 10.8 Comparison of Market Capitalization-Weighted and Equal-Weighted Performance of Deep Value Stocks (by Enterprise Multiple) and All Stocks (1951 to 2013)